Absa Bank Kenya PLC

The Board of Directors of Absa Bank Kenya PLC is pleased to announce the unaudited group results for the period ended 30 June 2023

	Bank				Group			
	June 2022 Shs '000 Unaudited	December 2022 Shs '000 Audited	March 2023 Shs '000 Unaudited	June 2023 Shs '000 Unaudited	June 2022 Shs '000 Unaudited	December 2022 Shs '000 Audited	March 2023 Shs '000 Unaudited	June 2023 Shs '000 Unaudited
I Statement of financial position								
A Assets								
1 Cash balances (both local and foreign)	6,752,477	11,464,397	13,151,558	8,429,922	6,752,477	11,464,397	13,151,558	8,429,922
2 Balances due from Central Bank of Kenya	13,044,351	12,746,777	13,856,697	13,404,820	13,044,351	12,746,777	13,856,697	13,404,820
3 Kenya Government and other securities held for dealing purposes	31,076,657	42,905,378	47,237,832	35,271,586	31,076,657	42,905,378	47,237,832	35,271,586
4 Financial assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5 Investment Securities:	-	-	-	-	-	-	-	-
a) Held to Maturity:	-	-	-	-	-	-	-	-
a. Kenya Government securities	-	-	-	-	-	-	-	-
b. Other securities	-	-	-	-	-	-	-	-
b) Fair value through other comprehensive income (FVOCI)	89,286,448	90,192,869	86,651,020	80,359,746	89,679,257	90,584,670	87,026,795	80,732,814
a. Kenya Government securities	89,286,448	90,192,869	86,651,020	80,359,746	89,679,257	90,584,670	87,026,795	80,732,814
b. Other securities	-	-	-	-	-	-	-	-
6 Deposits and balances due from local banking Institutions	-	843,225	1,259,224	3,992,100	-	843,225	1,259,224	3,992,100
7 Deposits and balances due from banking Institutions abroad	3,390,256	4,113,673	4,643,518	2,200,293	3,390,256	4,113,673	4,643,518	2,200,293
8 Tax recoverable	623,550	537,355	-	-	812,692	747,970	-	-
9 Loans and advances to customers(net)	261,535,623	283,578,543	309,973,217	317,946,670	261,535,623	283,578,543	309,973,217	317,946,670
10 Balances due from banking institutions in the group	18,023,319	8,726,287	13,021,919	13,963,927	18,023,320	8,726,287	13,021,919	13,963,927
11 Investment in Associates	-	-	-	-	-	-	-	-
12 Investment in Subsidiary Companies	462,751	462,751	462,751	462,751	-	-	-	-
13 Investment in joint Ventures	-	-	-	-	-	-	-	-
14 Investment properties	-	-	-	-	-	-	-	-
15 Property and equipment	2,224,779	2,674,477	2,516,021	2,510,700	2,224,840	2,675,951	2,517,424	2,507,817
16 Prepaid operating rental leases	33,710	32,116	31,855	31,590	33,710	32,116	31,855	31,590
17 Intangible assets	431,040	461,929	467,517	495,653	491,966	515,795	518,594	548,155
18 Deferred Tax	5,601,315	5,834,288	5,956,746	6,876,652	5,667,144	5,924,099	6,053,091	6,981,604
19 Retirement benefit asset	-	-	12,370	3,740	-	-	12,370	3,740
20 Other assets	12,687,549	12,716,483	15,575,575	18,139,057	12,556,052	12,375,056	15,299,990	17,723,948
21 Total asset	**445,173,825**	**477,290,548**	**514,817,820**	**504,089,207**	**445,288,345**	**477,233,937**	**514,604,084**	**503,738,986**
B Liabilities								
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
23 Customers' deposits	284,012,134	306,662,590	314,010,528	336,078,746	281,668,662	303,751,003	310,831,231	332,599,693
24 Deposits and balances due to banking institutions (local)	6,211,655	8,375,258	9,099,706	9,736,639	6,211,655	8,375,258	9,099,706	9,736,639
25 Deposits and balances due to banking institutions (foreign)	558,425	642,615	2,264,509	1,627,365	558,425	642,615	2,264,509	1,627,365
26 Other money market deposits	-	-	-	-	-	-	-	-
27 Borrowed funds	-	4,266,919	4,226,962	4,202,591	-	4,266,919	4,226,962	4,202,591
28 Balances due to banking institutions in the group	77,954,402	76,303,685	96,362,152	68,590,108	77,954,402	76,303,685	96,362,152	68,590,108
29 Tax payable	-	-	1,392,026	269,486	-	-	1,268,419	6,963
30 Dividends payable	1,086,307	-	-	1,086,307	1,086,307	-	-	1,086,307
31 Deferred tax liability	-	-	-	-	-	-	-	-
32 Retirement benefit liability	106,413	121,000	-	-	106,413	121,000	-	-
33 Other liabilities	21,447,035	20,107,180	22,597,096	22,109,275	21,462,745	20,160,439	22,570,096	22,148,659
34 Total liabilities	**391,376,371**	**416,479,247**	**449,952,979**	**443,700,517**	**389,048,609**	**413,620,919**	**446,623,075**	**439,998,325**
C Shareholders' Funds								
35 Paid up/Assigned capital	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768
36 Share premium/(discount)	-	-	-	-	-	-	-	-
37 Revaluation reserves	(559,289)	(1,536,412)	(1,588,960)	(2,011,709)	(573,238)	(1,551,380)	(1,614,041)	(2,046,499)
38 Retained earnings/(Accumulated losses)	51,469,518	53,163,772	57,291,697	59,513,564	53,925,749	55,980,457	60,432,946	62,900,325
39 Statutory loan loss reserve	-	-	-	-	-	-	-	-
40 Other reserves	171,457	221,907	200,070	171,067	171,457	221,907	200,070	171,067
41 Proposed dividend	-	6,246,266	6,246,266	-	-	6,246,266	6,246,266	-
42 Capital grants	-	-	-	-	-	-	-	-
43 Total shareholders' funds	**53,797,454**	**60,811,301**	**64,864,841**	**60,388,690**	**56,239,736**	**63,613,018**	**67,981,009**	**63,740,661**
44 Minority Interest	-				-	-	-	-
45 Total liabilities and total shareholders funds	**445,173,825**	**477,290,548**	**514,817,820**	**504,089,207**	**445,288,345**	**477,233,937**	**514,604,084**	**503,738,986**
II Statement of comprehensive income								
1.0 Interest income								
1.1 Loans and advances to customers	13,347,220	30,681,559	9,576,767	20,210,699	13,347,220	30,681,559	9,576,767	20,210,699
1.2 Government securities	4,525,721	9,375,735	2,406,459	4,692,016	4,550,961	9,420,791	2,417,509	4,714,239
1.3 Deposits and placements with banking institutions	528,356	750,751	149,196	308,137	528,356	750,751	149,196	308,137
1.4 Other interest income	-	-	-	-	-	-	-	-
1.5 Total interest income	**18,401,297**	**40,808,045**	**12,132,422**	**25,210,852**	**18,426,537**	**40,853,101**	**12,143,472**	**25,233,075**
2.0 Interest expenses								
2.1 Customer deposits	3,363,787	7,114,100	2,167,288	4,747,773	3,303,130	6,975,120	2,126,823	4,655,451
2.2 Deposits and placements with banking institutions	640,246	1,448,752	630,876	1,293,038	640,246	1,448,752	630,876	1,293,038
2.3 Other interest expenses	53,415	113,871	30,018	59,932	53,415	113,871	30,018	59,932
2.4 Total interest expenses	**4,057,448**	**8,676,723**	**2,828,182**	**6,100,743**	**3,996,791**	**8,537,743**	**2,787,717**	**6,008,421**
3.0 Net interest income	**14,343,849**	**32,131,322**	**9,304,240**	**19,110,109**	**14,429,746**	**32,315,358**	**9,355,755**	**19,224,654**
4.0 Non - interest income								
4.1 Fees and commissions income on loans & advances	701,822	1,382,234	329,731	697,669	701,822	1,382,234	329,731	697,669
4.2 Other fees and commissions	1,741,920	3,524,336	1,074,349	2,138,243	2,339,465	4,790,442	1,571,252	2,985,691
4.3 Foreign exchange trading income	2,988,752	6,646,031	2,203,917	3,764,153	2,988,751	6,646,029	2,203,915	3,764,150
4.4 Dividend income	-	-	-	-	-	-	-	-
4.5 Other income	454,509	871,842	404,554	700,338	447,038	853,875	400,077	691,321
4.6 Total non-interest income	**5,887,003**	**12,424,443**	**4,012,551**	**7,300,403**	**6,477,076**	**13,672,580**	**4,504,975**	**8,138,831**
5.0 Total operating income	**20,230,852**	**44,555,765**	**13,316,791**	**26,410,512**	**20,906,822**	**45,987,938**	**13,860,730**	**27,363,485**
6.0 Operating expenses								
6.1 Loan loss provision	2,955,706	6,401,737	2,400,869	5,155,341	2,955,674	6,479,523	2,400,944	5,155,422
6.2 Staff costs	4,684,179	10,226,482	2,626,165	5,491,453	4,807,075	10,487,747	2,681,124	5,602,308
6.3 Directors emoluments	114,076	178,713	29,205	87,780	118,178	187,396	31,510	92,389
6.4 Rental charge	35,316	113,116	33,938	59,596	35,316	113,252	34,073	59,799
6.5 Depreciation on property and equipment	359,172	755,924	209,554	420,051	359,204	756,025	209,626	420,194
6.6 Amortisation charges	60,382	116,220	28,544	58,369	65,961	127,377	31,333	63,947
6.7 Other operating expenses	3,423,955	6,931,142	2,031,727	3,861,362	3,452,313	6,987,304	2,050,194	3,898,186
6.8 Total operating expenses	**11,632,786**	**24,723,334**	**7,360,002**	**15,133,952**	**11,793,721**	**25,138,624**	**7,438,804**	**15,292,245**
7.0 Profit before tax and exceptional items	**8,598,066**	**19,832,431**	**5,956,789**	**11,276,560**	**9,113,101**	**20,849,314**	**6,421,926**	**12,071,240**
8.0 Exceptional items	-	-	-	-	-	-	-	-
9.0 Profit after exceptional items	**8,598,066**	**19,832,431**	**5,956,789**	**11,276,560**	**9,113,101**	**20,849,314**	**6,421,926**	**12,071,240**
10 Current tax	(3,136,231)	(6,255,473)	(1,929,381)	(4,383,550)	(3,303,396)	(6,576,739)	(2,072,159)	(4,614,801)
11 Deferred tax	473,376	290,928	100,516	842,090	484,336	314,591	102,720	848,737
12 Profit after tax and exceptional items	**5,935,211**	**13,867,886**	**4,127,924**	**7,735,100**	**6,294,041**	**14,587,166**	**4,452,487**	**8,305,176**
13 Other comprehensive income								
13.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-
13.2 Fair value changes in FVOCI financial assets	(1,502,038)	(2,897,985)	(73,140)	(667,581)	(1,518,988)	(2,916,370)	(87,575)	(695,896)
13.3 Revaluation surplus on property,plant and equipment	-	-	-	-	-	-	-	-
13.4 Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	450,611	869,396	21,942	200,274	455,696	874,911	26,272	208,769
14 Other comprehensive income for the year net of tax	(1,051,427)	(2,028,589)	(51,198)	(467,307)	(1,063,292)	(2,041,459)	(61,303)	(487,127)
15 Total comprehensive income for the year	**4,883,784**	**11,839,297**	**4,076,726**	**7,267,793**	**5,230,749**	**12,545,707**	**4,391,184**	**7,818,049**
Earnings per Share (Shs)	**1.09**	**2.55**	**0.76**	**1.42**	**1.16**	**2.69**	**0.82**	**1.53**
Dividends per share (Shs)	**0.20**	**1.35**	**-**	**0.20**	**0.20**	**1.35**	**-**	**0.20**

	Bank			
	June 2022 Shs '000 Audited	December 2022 Shs '000 Audited	March 2023 Shs '000 Unaudited	June 2023 Shs '000 Unaudited
III Other disclosures				
1) Non-performing loans and advances				
a) Gross non-performing loans and advances	19,792,505	22,519,244	31,142,698	32,179,930
b) Less: Interest in suspense	2,433,135	4,794,156	4,521,938	4,648,699
c) Total non performing loans and advances	**17,359,370**	**17,725,088**	**26,620,760**	**27,531,231**
d) Less: loan loss provisions	13,112,358	13,344,496	15,368,861	17,669,239
e) Net non performing loans(c-d)	**4,247,012**	**4,380,592**	**11,251,899**	**9,861,992**
f) Discounted value of securities	3,158,189	3,257,843	8,891,882	7,700,786
g) Net NPLs (Excess)/Exposure (e-f)	**1,088,823**	**1,122,749**	**2,360,017**	**2,161,206**
2) Insider loans and advances				
a) Directors ,shareholders and associates	34,293	33,034	33,243	58,995
b) Employees	9,926,528	10,258,378	10,226,224	10,288,808
c) Total insider loans and advances	**9,960,821**	**10,291,412**	**10,259,467**	**10,347,803**
3) Off Balance sheet items				
a) Letters of credit, guarantees, acceptances	71,804,441	57,644,594	49,483,405	54,162,125
b) Forwards, swaps and options	98,030,550	141,534,025	158,956,906	148,689,765
c) Other contingent liabilities	-	-	-	-
d) **Total Contingent liabilities**	**169,834,991**	**199,178,619**	**208,440,311**	**202,851,890**
4) Capital Strength				
a) Core capital	50,738,134	55,606,048	57,781,106	57,321,310
b) Minimum statutory capital	1,000,000	1,000,000	1,000,000	1,000,000
c) Excess/(Deficiency)	**49,738,134**	**54,606,048**	**56,781,106**	**56,321,310**
d) Supplementary capital	8,872,278	15,505,695	16,646,233	17,659,767
e) Total capital	**59,610,412**	**71,111,743**	**74,427,339**	**74,981,077**
f) Total risk weighted assets	363,421,230	382,149,724	410,913,245	424,761,594
g) Core capital/total deposit liabilities	18.1%	18.4%	18.6%	17.3%
h) Minimum statutory ratio	8.0%	8.0%	8.0%	8.0%
i) Excess/(Deficiency)	**10.1%**	**10.4%**	**10.6%**	**9.3%**
j) Core capital/total risk weighted assets	14.0%	14.6%	14.1%	13.5%
k) Minimum statutory ratio	10.5%	10.5%	10.5%	10.5%
l) Excess/(Deficiency)	**3.5%**	**4.1%**	**3.6%**	**3.0%**
m) Total capital/total risk weighted assets	16.4%	18.6%	18.1%	17.7%
n) Minimum statutory ratio	14.5%	14.5%	14.5%	14.5%
o) Excess/(Deficiency)	**1.9%**	**4.1%**	**3.6%**	**3.2%**
p) Adjusted Core Capital/Total Deposit Liabilities*	18.2%	18.4%	18.7%	-
q) Adjusted Core Capital/Total Risk Weighted Assets*	14.0%	14.6%	14.2%	-
r) Adjusted Total Capital/Total Risk Weighted Assets*	16.5%	18.6%	18.2%	-
5 Liquidity				
a) Liquidity ratio	30.3%	33.6%	28.6%	28.7%
b) Minimum statutory ratio	20.0%	20.0%	20.0%	20.0%
c) Excess/(Deficiency)	**10.3%**	**13.6%**	**8.6%%**	**8.7%**

*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the CBK guidance note issued in April 2018 on implementation of IFRS9.

Summary Consolidated Statement of Changes in Equity

	Share Capital Shs '000	Other Reserves Shs '000	Retained Profit Shs '000	Proposed Dividends Shs '000	Total Equity Shs '000
As at 1 January 2023	2,715,768	(1,314,505)	53,163,772	6,246,266	**60,811,301**
Profit for the year	-	-	7,735,100	-	**7,735,100**
Other comprehensive income	-	(467,307)	-	-	**(467,307)**
Total comprehensive income for the year	-	(467,307)	7,735,100	-	**7,267,793**
Recognition of share-based payments	-	(50,841)	-	-	**(50,841)**
Impairment on government securities	-	(7,989)	-	-	**(7,989)**
Final dividend for 2022 paid	-	-	-	(6,246,266)	**(6,246,266)**
Interim dividend	-	-	(1,086,307)	-	**(1,086,307)**
Withholding tax on dividend waived	-	-	(299,001)	-	**(299,001)**
Balance as at 30 June 2023	**2,715,768**	**(1,840,642)**	**59,513,564**	**-**	**60,388,690**

Summary Consolidated Statement of Cash Flows

	June 2022 Unaudited Shs '000	December 2022 Audited Shs '000	June 2023 Unaudited Shs '000
Net cash generated from operating activities	1,708,405	515,700	**4,466,334**
Net cash used in investing activities	(132,224)	(602,464)	**(208,950)**
Net cash used in financing activities	(3,243,458)	4,405,737	**(6,559,205)**
Net decrease in cash and cash equivalents	(1,667,277)	4,318,973	**(2,301,821)**
Cash and cash equivalents at 1 January	12,596,160	15,851,390	**20,340,293**
Net foreign exchange difference	287,282	169,930	**234,080**
Cash and cash equivalents at period end	11,216,165	20,340,293	**18,272,552**

Message from the Directors:

We are pleased to release our H1 2023 results which demonstrate that we are sustaining momentum in business performance anchored on our new strategy. The Bank's revenue grew by 31% to Kshs.27.4 billion supported by strong growth in balance sheet. In the period under review, customer assets grew by 22% to Kshs.318 billion while customer deposits increased by 18% to Kshs.333 billion. Our diversification and multi-year transformative investments continue to deliver desired results which has led to a 26% growth in our non-funded income. Our subsidiaries continue to contribute and diversify Group revenue.

Our underlying costs increased by 15% in line with our continued investments in the business and prevailing inflationary environment. Efficiency levels (cost-to-income ratio) improved from 42% to 37%. Impairment increased by 74% compared to the same period last year in line with our principles of prudence in risk management given balance sheet growth and tough operating environment.

The Bank reported a strong 32% year-on-year growth in profit after tax to Kshs.8.3 billion and significantly improved our return-on-equity to 26%. The Board of Directors of Absa Bank Kenya PLC has resolved to declare an interim dividend for the year 2023 of Kshs.0.20 per ordinary share of the Company to be paid on or about Thursday October 12, 2023 to shareholders registered as at close of business on Thursday September 21, 2023.

We have begun the execution of our new strategic horizon which is focused on building a modern-day consumer financial services business, becoming a market leader in business banking while building a leading corporate & investment bank committed to connecting client ecosystems. We have made positive progress under these priorities.

Through our Wezesha Biashara proposotion, we continue to provide our SME customers access to both financial and non-financial support to help them navigate through the tough business environment. In addition, as part of our innovation agenda, we launched Mobi-Tap, a first-in-market payment solution that allows small businesses to accept speedy and safe card-based payments through a mobile phone. We also launched the Absa Buy Now Pay Later proposition, another first-to-market card solution that will enable our customers to manage their expenses by spreading the cost of their purchases over time.

We remain cognizant of the challenges and opportunities presented by our operating environment. Our capital position is strong, allowing us to support our customers' growth ambitions while responding appropriately to the external environment. We would like to thank our customers, colleagues, shareholders and all our stakeholders for their continued support. We remain committed to continue working towards empowering Africa's tomorrow, together, one story at a time.

The statement of financial position, the statement of comprehensive income, cashflow and changes in equity as well as the disclosures presented above have been prepared from the financial records of the bank and its subsidiaries. These published statements and disclosures are also available on the bank's website www.absabank.co.ke. They may also be accessed at the institutions head office at The Westend Building, Waiyaki Way.

They were approved by the Board on Tuesday 29 August, 2023 and signed on its behalf by:

Charles Muchene
Chairman

Abdi Mohammed
Managing Director

Yusuf Omari
Chief Financial Officer